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Bessent's Message: The Fed's Next Era Will Be AI-Driven

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In this week's video, I highlight how Treasury Secretary Scott Bessent and the administration are signaling that the next Fed chair will mark a turning point. While today's Fed remains backward-looking and overly academic, the message being sent to markets is that policy is shifting toward a forward-looking framework designed for an AI-driven economy. I view this as a strong indication that policymakers are willing to tolerate a higher inflation target in the near term, under the belief that rapid AI-driven productivity will ultimately prove deflationary and create room for looser policy. This would have major implications for factors if the market embraces a new regime shift around the view of an acceptable near-term higher inflation target going forward from the White House.

Beyond the Fed, I cover the rotation into small caps, global markets breaking to new highs, record-low corporate bond spreads, and strong earnings momentum lifting forecasts. I also outline the stages of AI adoption from efficiency gains to broad automation to embodiment as well as the important of Tesla's full self-driving rollout for PMIs, deregulation via the Doge AI project, tokenization, and the potential for gold revaluation. These are the forces converging into a new market regime, defined less by old models and more by technology, policy shifts, and fiscal dominance.

Key Timestamps

- **(00:00–01:31)**
  • Small caps surge, outperforming the S&P on hopes of rate cuts.
  • Shift away from Russell 2000 to purer small-cap index signals regime awareness.

- **(01:53–02:43)**
  • Bloomberg factor monitor shows size and momentum crowded with high Sharpe ratios.
  • Signals regime shift underway with AI adoption spreading beyond the MAG7.

- **(02:59–03:47)**
  • Global equity markets (DAX, FTSE, Shanghai) hit record or multi-year highs.
  • Bank indices break out, reinforcing reflationary boom narrative.

- **(04:28–05:14)**
  • PMIs rising, earnings beats leading analysts to lift 2025 estimates.
  • Broad-based strength across six of eleven S&P sectors.

- **(05:55–06:43)**
  • Despite caution from professionals, flows from quants, retail, and buybacks drive upside.
  • Earnings growth far above expectations (12% vs. 3%) continues to power market.

- **(07:06–08:24)**
  • CPI data shows manageable upticks, core goods inflation remains subdued.
  • PPI spike (0.9%) raises concern but context suggests noise, not trend.

- **(09:04–10:09)**
  • Employment tax receipts up 7.8%, signaling wage/income strength.
  • AI contributes to hiring challenges even as payroll dollars increase.

- **(10:31–11:31)**
  • Bessent calls for 150–175 bps of cuts, targeting ~2.6% Fed funds rate.
  • Political backdrop: Trump pressing for lower rates, Powell under pressure.

- **(12:13–14:32)**
  • Administration signals next Fed chair will be forward-looking, not academic.
  • Higher inflation tolerance seen as necessary bridge to AI-driven deflation.

- **(18:44–20:13)**
  • AI adoption framework: wave one (efficiency), wave two (automation), wave three (embodiment).
  • Expect labor displacement pressures alongside productivity-driven GDP growth.

- **(23:27–24:12)**
  • Tariff lawsuit threatens Trump's authority, creating uncertainty.
  • Removal of tariffs could benefit small caps and manufacturing.

- **(24:36–27:41)**
  • Debate over gold revaluation emerges as potential fiscal tool.
  • Seen as a response to fiscal dominance, with bullish implications for gold/crypto.

- **(28:02–30:50)**
  • AI-crypto collision accelerates with tokenization reshaping finance.
  • Tesla's FSD rollout marks beginning of AI embodiment in the physical world.

- **(32:30–33:31)**
  • Doge AI project reviews 200,000 regulations, aiming to cut 50% by 2026.
  • AI-driven deregulation could unlock trillions in savings and efficiency gains.

- **(33:54–35:56)**
  • U.S. crypto plan and tokenization described as the most significant economic shift in decades.
  • Tether's Finance 2.0 vision points toward a rebuilt capital market stack.

Watch here

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